Farm Fresh Berhad (5306.KL) – Credit Screening Memo – 11 Aug 2026

Sector: Consumer Products & Services – F&B Dairy Products | Facility Type: Delayed-Draw Term Loan

Business Overview

Business Overview and History: Largest B2C fully integrated dairy producer in Malaysia, with 7 farms and 5 processing facilities across 5,367 acres of land. IPO'd on March 22, 2022, at RM1.35/share – currently sits at ~RM2.2/share. Previously backed by Khazanah, who divested shares in September 2025.

Competitive Advantages: Farm Fresh's "grass to glass" model leverages vertical integration, allowing for cost efficiencies, stringent quality control, and full supply chain oversight. The company also holds one of the largest gene banks of the Australian Friesian-Sahiwal (AFS) breed, contributing to superior herd health and milk yields.

Key Offerings: 216 SKUs across 10 distinct brands – including Farm Fresh, Yarra, Master Barista, Jom Cha, Inside Scoop, Sin Wah, St David Dairy – spanning fresh/UHT milk, gourmet sauces, ice cream, flavoured milk, yoghurt and powdered dairy products.

Revenue Model:

Source	Details	Nature
School Milk Programme	5-year contract with Ministry of Education – distributed >49.8 million packs of milk in FY2025 (~24% YoY decrease)	Contractual
Commercial Clients & General Consumers	Supermarkets, modern trade and HORECA outlets, and home dealer network (RM47 million gross income in FY2025 by home dealers)	Recurring (behavioural)

Geography Breakdown: % of Revenue: Malaysia (85%), Australia (10%), Singapore (3%), Others (2%). Ongoing expansions into Philippines and Cambodia.

Customer Concentration: Largest disclosed customer grew from 5.46% of Revenue (FY2024) to 10.09% (FY2025) – almost doubled. Healthy top 10 concentration represents less than 20-30% of total ARR, but annual report only discloses largest single customer.

Financial Overview

Metric	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E
Total Revenue	629,691	810,411	981,181	1,225,357	1,530,298
YoY Growth	-	28.7%	21.1%	24.9%	24.9%

Gross Profit Margin %	23.8%	26.7%	32.1%	27.5%	27.5%
EBITDA (RM'000)	96,867	133,594	190,360	201,085	242,678
EBITDA Margin %	15.4%	16.5%	19.4%	16.4%	15.9%

Revenue growth is decelerating in the actuals (28.7% -> 21.1%), while gross margins have expanded sharply (23.8% -> 32.1%). Our model's forward assumptions account for potential temporary contraction/expansion by taking the 3-year average and holding it flat for the forecasted years – 24.9% and 27.5% respectively. EBITDA margin follows the same expansion pattern (15.4% -> 19.4%) and is subjected to the same reversion treatment as gross profit margin, settling near 16% in FY2027E.

Key Ratios

Metric	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E
Total Debt/EBITDA	3.58x	3.22x	2.24x	2.47x	2.44x
EBITDA/Interest	8.11x	7.91x	10.77x	10.50x	10.90x

Total Debt/EBITDA improves sharply in the actuals (3.58x -> 2.24x) but mirrors the model's margin reversion in forecasted years (FY2026E: 2.47x; FY2027E: 2.44x). Coverage, in contrast, remains comfortable throughout the actuals and forecasted years (8.11x -> 10.9x). These 2 ratios suggest moderate, improving credit with no alarming leverage increases.

Investment Merits

1. **Long-Term Growth:** Dairy market size is forecasted to grow at 7.4% CAGR from 2026-2033. FF is outpacing market growth with expected 24.9% revenue CAGR and consistent gross margins improvements (23.8% -> 32.1%) between FY2023A-FY2025A, showcasing growing revenue with stricter cost controls.
2. **Government Incentives:** Malaysia remains heavily dependent on imported food, including milk. FF is spearheading Malaysia's self-sufficiency in milk production with the aid of government efforts to boost cattle breeding and ruminant development programmes.
3. **International Expansion:** Beyond Malaysia and Australia, FF has commissioned a new manufacturing facility in San Simon, Philippines in FY2025 and a new dairy farm in Pursat, Cambodia in FY2026, signifying penetration into new markets.
4. **Sustainability:** FF has centred sustainability in its strategy, with consistent YoY improvements in sustainability metrics (e.g.: +132.32 million litres of waste discharged recycled) and becoming the first dairy company in Asia with the Certified Humane® certification.

5. **Multi-brand Portfolio:** 216+ SKUs across 10 distinct brands spanning multiple dairy categories decreases single-product dependency.

Investment Risks and Mitigants

Risks	Mitigants
Structural revolver dependency - grew 3.9x between FY2026E and FY2030E (RM45,574k -> RM178,013k)	Coverage remains strong in forecasted years (>10x) despite growing interest expenses. Company faces no issues in interest repayments and rising debt represents aggressive expansions that translates to greater earnings. Structuring implications addressed in "Proposed Facility Structure".
Unprofitable Australia Segment – Loss-making PBT in all public ARs, -RM9,791k PBT in FY2025A	Segment only represents 10% of group's total revenue. Overall profitability remains strong (RM50 million -> RM288 million net income; FY2023A -> FY2030E) despite decelerating revenue growth. However, the loss remains unaddressed and should be reviewed.
Rising Customer Concentration – 1 major customer (% of revenue – 5.46% -> 10.09%; FY2024A -> FY2025A)	On a single-customer basis, it is still within "healthy top 10 concentration". Covenant requiring disclosure should be implemented if concentration rises above pre-determined threshold (e.g.: 15%) in later years.
Unproven Margin Durability – Massive gross margin jump in actuals (23.8% -> 32.1%) is unconfirmed to be structural or temporary	The management team attributes the rising margin to product category and channel expansion, and the softening of global dairy raw material prices. While the structural factors (expansion) are more likely durable, the commodity cost reduction remains cyclical and exposed to reversal, which we have factored in through partial margin reversal.

Process / Transaction Overview

Borrower Reasoning: [Hypothetical] – FF requires growth capital to fund continued expansion of farms and manufacturing facilities across SEA countries (ongoing expansion in Philippines and Cambodia), along with optimizing logistics costs that arise from a growing portfolio. This is reflected in our model, whereby cash flow from investing is the main driver behind the forecasted shortfall of the company, resulting in an overdependence on revolver borrowing.

Advisor Status: Not established – no public information on sell-side party, though it will presumably be CIMB Investment Bank Berhad considering that they previously led the IPO process.

Proposed Facility Structure

Term	Proposed	Reasoning
Facility Size	RM200 million	Sized above peak revolver borrowing RM183 million in FY2029E
Tenure	~5 years	Forward model predicts FCF-sufficiency in FY2029/2030E
Structure	Delayed-draw term loan	Forward model proposes consistently growing revolver borrowing across 4 consecutive years, which does not align with the cyclical nature of a revolver. A delayed-draw structure tied to expansion goals gives the lender growth checkpoints to assess borrowing against the underlying performance
Covenants	Draw conditions with maintenance covenants	Draw conditions – Based on construction progress. Tranches are only released once Cambodia farm hits construction milestone. Maintenance Covenants – Use FF's existing borrowing covenants, but subjected to stricter change from PC perspective: - Total debt/EBITDA of group <4.5x - EBITDA interest cover >2.5x (previously applied exclusively for Australian subsidiary)
Pricing	>4.1%	No publicly available private credit data on FMCG companies. Use FF's existing effective pre-tax cost of debt (4.1%) as benchmark. Private credit facility would likely be premium to this to include liquidity risk and greater term flexibility